RESP Government Rules

The Registered Education Savings Plan rules for 2026, in plain English, with what changes when you hold RESPs at more than one institution

An RESP is the only registered account where the government adds money to yours: 20% of what you contribute, through the Canada Education Savings Grant, plus the Canada Learning Bond for lower-income families. The catch is that every limit belongs to the CHILD, not to the account, so RESPs at two institutions, or a grandparent's plan, all count together. The rules below are the ones that cost money when they are missed.

Your template link: https://docs.google.com/spreadsheets/d/10qfSKMsDM4bra3EBzD2TqgN_4aEdz8ev0ezBuFIbNjo/copy (opens Make a copy).

KEY NUMBERS FOR 2026

Rule	Number
Lifetime contribution limit	$50,000 per child, across all RESPs and all subscribers. No annual limit.
Basic CESG	20% on the first $2,500 contributed per child per year = $500
CESG catch-up	Up to $1,000 a year with carried-forward grant room (contribute $5,000)
Lifetime CESG	$7,200 per child (basic + additional CESG)
Additional CESG	Extra 10% or 20% on the first $500 a year, based on family income
Canada Learning Bond	Up to $2,000 per child, no contribution needed (lower-income families)
Last CESG year	December 31 of the year the child turns 17
Over-contribution tax	1% per month on the excess over $50,000
Tax deduction	None. Contributions are not deductible.
EAP limit, first 13 weeks	$8,000 full-time, $4,000 per 13 weeks part-time
Plan lifetime	Contributions until the 31st year after opening; plan closes by the end of its 35th year
Accumulated Income Payment	Taxed at your rate + 20% (12% in Quebec)

1. PLANS, SUBSCRIBERS AND BENEFICIARIES

Term	What it means
Subscriber	The person who opens the RESP and contributes: a parent, grandparent, anyone. Two spouses can open a joint plan.
Beneficiary	The child the money is for. Must be a Canadian resident with a SIN to receive grants.
Individual plan	One beneficiary, who does not have to be related to you. Any age, including an adult.
Family plan	One or more beneficiaries, each related to the subscriber by blood or adoption and under 21 when added. Siblings can share the CESG.
How many RESPs	As many as you like, at as many institutions as you like. The limits are shared across all of them.

2. CONTRIBUTIONS AND THE $50,000 LIMIT

You can contribute as much as you like in a year, but no more than **$50,000 for each child over their lifetime**. The limit covers every RESP for that child, opened by anyone. Contributions you later take out still count, so a withdrawal never gives room back. Contributions are not tax-deductible: the benefit is the grants and the tax-free growth.

Example: Emma, born 2015	Contributed	Running total	Of $50,000
Before 2026, bank RESP and RBC	$18,000	$18,000	$32,000 left
2026, Wealthsimple	$2,500	$20,500	$29,500 left
2026, Questrade	$1,500	$22,000	$28,000 left

Multiple institutions: each institution only sees its own deposits. Grandparents who open their own RESP for the same child use the same $50,000. Nobody adds it up for you, which is exactly the gap the tracker fills.

3. OVER-CONTRIBUTIONS

If total contributions for a child go over $50,000, each subscriber pays a tax of **1% per month** on their share of the excess, for every month it stays in the plan. To stop the tax, withdraw the excess contribution. Unlike the RRSP, there is no $2,000 buffer.

4. THE CANADA EDUCATION SAVINGS GRANT (CESG)

The government adds **20% of your contributions** for each child, up to **$500 a year** on the first $2,500. Every child earns **$500 of grant room each year from birth** (since 2007) to age 17, even if no RESP is open yet. Unused room carries forward, but you can collect at most **$1,000 of CESG in one year**, by contributing $5,000. The lifetime maximum is **$7,200 per child**.

Example: Liam, born 2020, first RESP in 2026	Grant room available	Contribute	CESG
2026 (age 6)	$3,500	$5,000	$1,000
2027 (age 7)	$3,000	$5,000	$1,000
2028 (age 8)	$2,500	$5,000	$1,000
2029 (age 9)	$2,000	$5,000	$1,000
2030 (age 10)	$1,500	$5,000	$1,000
2031 (age 11)	$1,000	$5,000	$1,000
2032 onward	$500 a year	$2,500 a year	$500 a year

Starting late is not a disaster: six years of $5,000 catches Liam up completely ($6,000 of CESG by 2031). $500 in 2032, $500 in 2033 and $200 in 2034 then bring him to the $7,200 maximum at age 14.

Rule	Detail
Additional CESG	An extra 20% (lower income) or 10% (middle income) on the first $500 contributed each year, based on the primary caregiver's family income. It cannot be carried forward and counts toward $7,200.
Last year	Contributions must be made by December 31 of the year the child turns 17. There is no 60-day grace period.

Rule	Detail
Age 16 and 17	CESG is paid at 16 or 17 only if, before the end of the year the child turned 15, at least $2,000 was contributed (and not withdrawn), OR at least $100 a year was contributed (and not withdrawn) in any 4 years.
Family plans	Siblings in a family plan can share the CESG, as long as no child receives more than $7,200.
Withdrawing contributions	If you take contributions out when the child is not in school, 20% of the amount comes back out as CESG repayment, and that grant room is not restored.

5. CANADA LEARNING BOND AND PROVINCIAL GRANTS

Program	Detail
Canada Learning Bond (CLB)	For children born in 2004 or later in lower-income families: $500 the first year and $100 a year after, up to age 15, to a maximum of $2,000. You do not have to contribute: opening an RESP and applying is enough. Children born in 2024 or later will be enrolled automatically starting April 2028.
BC: BCTESG	A one-time $1,200 grant for BC children born in 2006 or later. Apply between the child's 6th and 9th birthdays. No contribution needed.
Quebec: QESI	10% of contributions, up to $250 a year ($500 with carried-forward room), plus up to $50 more for lower incomes. Lifetime maximum $3,600.

6. MOVING MONEY

Move	New contribution?	What to know
RESP to RESP, same child (direct transfer)	No	Ask the receiving institution to transfer directly. The grants move with the money and the $50,000 does not change.
RESP to a sibling's RESP (direct transfer)	No	Allowed without repaying CESG if the sibling was under 21 when the plan was opened.
Withdraw, then re-deposit	Yes	Counts again against $50,000, and CESG on the withdrawn money may have to be repaid. Avoid this.

7. PAYING FOR SCHOOL

Once the child is enrolled in a qualifying program (university, college, trade school or apprenticeship, full-time or part-time), money comes out in two kinds of payments. You choose the mix.

Payment	What it is	Tax
Educational Assistance Payment (EAP)	The grants plus all the growth.	Income for the student, who usually pays little or no tax.
Post-secondary education (PSE) withdrawal	Your own contributions back.	Tax-free to you.

EAPs are limited in the first 13 consecutive weeks of enrolment: **$8,000 full-time**, **$4,000 per 13 weeks part-time**. After that there is no limit. EAPs can still be paid for up to 6 months after the student leaves school.

8. IF NO CHILD GOES TO SCHOOL

- Keep the plan open: a child can start school later, up to the plan's 35-year limit.
- Name another beneficiary, such as a sibling.
- Close it: your contributions come back tax-free. The CESG and CLB go back to the government.
- The growth comes out as an **Accumulated Income Payment (AIP)**, taxed at your rate plus 20% (12% in Quebec). You can roll up to $50,000 of it into your RRSP or a spousal RRSP instead, if you have the room, to avoid that tax.
- An AIP is generally possible once the plan is at least 10 years old and every beneficiary is at least 21 and not in school.

9. PLAN LIFETIME AND INVESTMENTS

Contributions can be made until December 31 of the **31st year** after the plan was opened, and the plan must close by December 31 of its **35th year**. Inside the RESP, interest, dividends and capital gains are not taxed. You can hold the same kinds of investments as in a TFSA or RRSP: stocks, ETFs, mutual funds, GICs and bonds.

US dividends: the Canada-US tax treaty exemption covers RRSPs and RRIFs, not RESPs. US-listed dividend stocks will generally have 15% withheld at source, and you cannot get it back inside an RESP.

10. TIPS WHEN YOU HOLD RESPS AT MORE THAN ONE INSTITUTION

1	**Keep one running total per child**	Log every contribution, at every institution, against the child it is for. That total, not any single institution, is what counts against $50,000.
2	**Always transfer directly**	Never withdraw from one RESP to deposit in another. Ask for a direct transfer.
3	**Contribute before December 31**	There is no grace period. $2,500 per child earns $500 of CESG; $5,000 earns $1,000 if the child has unused room.
4	**Watch ages 15, 16 and 17**	Make sure the $2,000 or 4 x $100 rule is met by the end of the year the child turns 15, and use the last CESG year at 17.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (Registered Education Savings Plans, Canada Education Savings Grant, Canada Learning Bond) and Revenu Québec (QESI). Always confirm your own numbers with your RESP provider. Questions: hello@maplesheet.ca